

China Internet

What the Market May Be Missing on SAMR's Ghost-Restaurant Crackdown

We believe the market may misread SAMR's 17 April ghost-restaurant ruling as another turn tighter in China Internet regulation and a simple EPS headwind for food delivery platforms. Our view is more constructive and more differentiated by stock. The direct fine is manageable and the operational remedy is narrow. The more important effect is economic: the ruling removes a pool of non-compliant, low-AOV, structurally loss-making orders, which should improve industry order quality and support higher AOV, revenue, and operating profit per order. On that basis, we see JD as the clearest positive read-through, Alibaba constructive via narrative de-risking, Meituan largely priced in, and PDD incrementally negative.

- **What the market may be missing is that the affected volume is not high-quality demand.** Ghost restaurants were concentrated in delayed-delivery cake orders and skewed to low-ticket baskets that added volume but diluted unit economics. In our framework, removing that volume should reduce total orders modestly but improve the mix of orders that remain. That is why we read the ruling as supportive for industry profitability rather than as a broad demand shock. We also think the action matters beyond the one-off fine because it increases the probability of a more rational operating backdrop, even without assuming an explicit policy-led end to the subsidy war.
- **The stock call therefore depends on what is already in numbers.** For Alibaba, our model already embeds substantial food delivery and quick commerce loss narrowing, so the main benefit is lower narrative risk rather than incremental EPS upside versus consensus. For Meituan, the 2027 food delivery profit flip is already in our model and, we believe, largely in consensus. JD stands out because expectations remain low: our 2026E group earnings sit above consensus while our new initiatives loss path still assumes essentially no narrowing. Against that backdrop, even modest cost savings from cleaner order mix and potential subsidy rationalization matter more for the stock. PDD is the exception: the fine is absorbable, but the one-store-one-penalty precedent adds a tail-risk overlay that we do not think the market fully prices.
- The main risks include: our thesis would weaken if ghost-restaurant exposure is smaller than we assume, if attrition of non-compliant low-AOV orders proves limited, or if platforms replace removed volume with equally uneconomic subsidized demand. The Alibaba de-risking mechanism also depends on management's next public framing; if management reiterates aggressive investment without clearer discipline, the narrative benefit could fade. More broadly, if SAMR treats this as a one-off food-safety case rather than part of a wider push toward better order quality and more rational competition, the valuation read-through is likely to be more muted.

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Bottom line

The investment question is not whether the RMB3.6bn aggregate fine matters to 2026 EPS. It is whether the 17 April SAMR ruling changes earnings expectations, valuation, or near-term positioning across the sector. We think the stock-relevant content lies in the interaction between what the ruling enables and what the market already discounts. On that basis, we rank the impact across our coverage as **JD > Alibaba > Meituan**, with **PDD incrementally negative** because of both the fine and the precedent set by the one-store-one-penalty template. In form, this is a one-time fine with narrow operational remedies. In economic substance, it improves industry order quality, narrows Alibaba's credibility gap around a loss path that we believe is already in the stock, and establishes a reusable enforcement mechanism that raises tail risk at PDD.

JD is the clearest actionable expression of the ruling. On our estimates, the order-quality cleanup adds RMB0.7bn-1.6bn of annual run-rate cost savings as structurally loss-making sub-RMB30 orders exit the platforms. That more than covers roughly RMB300mn of recurring compliance cost and absorbs the RMB635mn fine within a single annual run-rate. More importantly, this positive increment sits on top of a pre-existing expectations gap: our 2026E group adjusted net income estimate is double-digit percentage above consensus, while our new initiatives loss forecast of RMB46bn in 2025 and RMB45bn in 2026 still assumes essentially no narrowing and is consistent with where consensus sits. That is why we view JD as the cleanest single-stock way to express the ruling.

Alibaba is constructive, but the mechanism is narrative de-risking rather than incremental P&L upside versus consensus. Our food delivery and quick commerce loss forecasts of RMB88bn in FY26, RMB47bn in FY27, RMB23bn in FY28, and profitability in FY29 already imply an aggressive narrowing path. We believe the market broadly discounts a similar trajectory. The ruling does not, in our view, push P&L materially beyond that path. What it does is reduce the risk that management's public language on aggressive investment leads investors to question whether the narrowing path will be followed. We see scope for a 5-10% equity re-rating over a three- to six-month horizon via multiple, contingent on management's next public framing shifting toward discipline, quality-led growth, and sustainable unit economics. We no longer view a 20% P&L-driven upside framing as defensible against the loss baseline currently in the market.

Meituan looks different. Our model already embeds a 2027 food delivery profit flip from a RMB19bn loss in 2026 to a RMB16bn profit in 2027, and we believe consensus broadly captures the same transition. The ruling modestly de-risks that path through better order mix, but it neither raises nor lowers the ceiling in a meaningful way. PDD is the main incremental negative. The RMB1.52bn fine is the largest single-group tranche at 42% of the aggregate, and, more importantly, the one-store-one-penalty template is now a demonstrated regulatory tool that could be reused

wherever platform merchant-vetting duties are the operative legal hook. We do not think that tail risk is priced in.

Near term, we expect first-wave sell-side reactions within 48 hours to skew neutral to slightly negative and to focus on a generic regulatory overhang and the one-off EPS hit. We think that is likely to miss the stock-relevant mechanism. Our base case remains that the asymmetric opportunity window is **two to six weeks**. The key dates are Meituan, JD and Alibaba's 1Q26 disclosure and any follow-on SAMR action over the next 60-90 days. The key risk to the Alibaba de-risking mechanism is straightforward: if management reiterates aggressive continued investment without discipline qualifiers, the narrative benefit weakens materially.

Consensus revision map and positioning

We expect the first wave of research within 48 hours to skew neutral to slightly negative and to focus on a generic regulatory overhang and the mechanical EPS hit from the fine. We think that could miss the key point. The fine itself is not large enough to change group earnings paths in a material way. The more important read-through is where the ruling intersects with what is already priced: little incremental P&L at Alibaba beyond the loss path already in the stock, modest de-risking of Meituan's 2027 flip, a positive incremental on top of an existing earnings gap at JD, and a new tail-risk overlay at PDD.

That leaves the positioning flow uneven. JD is the cleanest positive because the ruling adds to a pre-existing out-of-consensus earnings view. Alibaba is constructive, but via multiple rather than EPS, and the key observable is management's next public framing. Meituan should see limited revision because the 2027 flip is already widely modeled, and we would discourage chasing a post-event Meituan call on the view that the ruling resets medium-term earnings power. PDD is where we would expect the market to underappreciate the tail risk embedded in the stacking template. Our base case remains that the best asymmetric window is **two to six weeks**, not a same-day EPS revision trade.

The 17 April ruling: what happened and why it matters

What happened: Per SAMR's April 17, 2026 public statement, the regulator imposed administrative penalties on PDD, Meituan, JD, Ele.me (now Taobao Flash Buy), Douyin, Taobao and Tmall in a series of "ghost restaurant" cases, saying the platforms had failed to properly verify food merchants' licenses and had not taken necessary action against order-transfer arrangements that harmed consumers. SAMR ordered the seven platforms to rectify the violations, suspend new cake-shop onboarding for three to nine months, and pay a combined RMB3.597bn in fines and confiscations; it also said the platforms had already taken down the

unaudited “ghost stores” and stopped cooperating with the relevant transfer-order platforms after the investigation began.

The case matters because the economic substance is easy to miss if it is framed only as a generic food-safety action. The enforcement path began with a single consumer complaint in July 2025. A Beijing resident ordered a cake from a storefront called **Tianyan Qingshu on a food delivery app**, received a cake decorated with inedible and potentially toxic fresh roses, and filed a complaint. The local SAMR office could not find the store at its registered address, could not verify the uploaded food business license against the government database, and found that the listed supervising officer did not exist. The investigation then established that all 378 chain locations trading under the same brand name used forged licenses and operated without physical kitchens.

SAMR’s subsequent test-buy showed that the order had in fact been fulfilled by a different licensed bakery. The ghost storefront routed the order through **Zhuandan Bao**, a third-party order-transfer platform that operates a reverse auction, and the bakery fulfilled the order at the winning bid. That workflow, rather than a simple food-quality lapse, is the core of the case.

Table 1: Ghost-storefront order economics

Participant	Receives (RMB)	Share of consumer spend	Role
Consumer	252.4	100.0% outflow	Pays full price
Platform	50.4	20.0%	Service fee
Ghost restaurant	122.0	48.3%	Pure intermediation; no kitchen, no production
Zhuandan Bao	3.2	1.3%	Order-transfer fee
Licensed bakery	76.8	30.4%	Actual producer; arranges delivery

Source: J.P. Morgan estimates.

We think three features of this structure explain the severity of the response. First, the ghost storefront captured 48% of consumer spend for no production or delivery role, which supports SAMR’s view that this was a compliance-failure ecosystem rather than a pricing issue. Second, the actual producer was invisible to both the consumer and the platform’s compliance architecture, breaking the food-safety accountability chain that Article 62 of the Food Safety Law is designed to preserve. Third, Article 18 of the Administrative Measures on Online Catering Service Food Safety explicitly prohibits order subcontracting by online food-service providers, which makes the transfer platforms, in the regulator’s framing, a mechanism to evade the law rather than a neutral intermediary.

Scale is what turned a statutory cap into a sector-level penalty event. SAMR identified **67,604 ghost storefronts** across seven platforms and **more than 3.6mn transferred cake orders**, including **1.2mn+** through Zhuandan Bao and **2.4mn+** through **Anhui Xunmeng**, which we understand is PDD-affiliated. We think that, together with SAMR’s public reference to “violent and soft resistance to enforcement” during the investigation phase, helps explain why PDD absorbed **RMB1.52bn**, or **42%** of the aggregate fine.

An important boundary condition is that the action is confined to **cake**. Cake is the only food-delivery sub-category in which consumers routinely accept scheduled rather than real-time delivery, which is what makes reverse-auction subcontracting operationally feasible. That is why the three- to nine-month onboarding freeze applies only to cake shops. We therefore do not view the ruling as a template for broad category-level volume disruption.

From direct fine to stock impact: four layers

Layer 1: direct P&L impact

Table 2: Fines' direct impact on P&L

Group	Platform entity fined	Fine (RMB mn)	2026E adj. NI (RMB bn)	Fine as % of adj. NI	Read
Pinduoduo	Shanghai Xunmeng	1,522	116.3	1.31%	Largest single-group tranche; not in consensus; incremental negative
Meituan	Beijing Sankuai	746	(12.0)	n/m	Deepens projected 2026 adj. NI loss by ~6.2%; dominated by order-quality channel
Alibaba	Shanghai Lazhasi 558 + Taobao 47 + Tmall 32	637	133.8 (FY2027E)	0.48%	Immaterial on P&L; relevance is strategic-posture channel, not fine
JD	Beijing Jingdong	635	35.1	1.81%	Highest gross % impact; absorbed in one year by order-quality cost saving
Douyin (unlisted)	Beijing Douyin	57	n/a	n/a	Signaling, not financial
Total		3,597			

Source: J.P. Morgan estimates.

Three points matter. First, PDD's 42% share of the aggregate fine is the key signal. The cash cost is absorbable; the precedent is not. Second, JD has the highest gross fine-to-NI ratio at 1.81%, but this is a one-time item and, on our estimates, the Layer 3 benefit absorbs it within one annual run-rate. Third, Alibaba's RMB637mn across three legal entities is the smallest fine among the food-delivery incumbents, which is directionally consistent with our "permission slip" framing: Alibaba is penalized, but not in a way that changes the economic ceiling of the loss-narrowing path already embedded in the stock.

Layer 2: compliance floor

We estimate the compliance cost increment at **RMB200mn-400mn per year** in run-rate cost at Meituan and at a similar level at Alibaba, with smaller absolute increments but a higher cost-base ratio at JD, at roughly **RMB300mn**, and at PDD. The gross burden is asymmetric toward sub-scale operators. Even so, we do not think the gross compliance cost is the dominant P&L channel for any of the four listed names. The order-quality cleanup channel in Layer 3 exceeds the compliance-cost channel across all four names, which is why we read the ruling as net positive for industry unit economics despite the higher compliance floor.

Layer 3: order quality, not volume, is the key earnings channel

Our framework starts with unit economics. In our Meituan deep-dive report published on 9 April ([link](#)), we estimated a delivery cost floor of approximately **RMB6.3 per order**, comprising rider cost of **RMB5.0-5.3**

and opex of **RMB1.1-1.2**. On that basis, orders above RMB30 are profitable and orders below RMB30 are structurally loss-making.

Table 3: Meituan order types and respective OP per order, 2024

Segment	Typical AOV	Net revenue/order	Cost floor	OP/order
Core (above RMB30)	~RMB50	~RMB8.0	~RMB6.3	~+RMB1.7
Impulse (below RMB30)	~RMB20	~RMB3.2	~RMB6.3	~(RMB3.1)

Source: J.P. Morgan estimates.

Revenue of RMB3.2 per order does not cover a RMB6.3 cost floor. That creates a structural loss of RMB3.1 per order, and we do not believe operating leverage or AI-led efficiency is sufficient to bridge that gap.

In our model, industry order mix is approximately **65% above RMB30** and **35% below RMB30**. We assume the current market share is roughly **60/40 Meituan/Alibaba** in orders above RMB30 and **40/60 Meituan/Alibaba** in orders below RMB30, reflecting our view that Alibaba's food delivery and quick commerce subsidy posture is more concentrated in lower-AOV orders. We further assume that approximately **25%** of below-RMB30 industry orders originate from ghost or otherwise non-compliant merchants, and that approximately **70%** of that volume permanently exits the platforms after the ruling and the tighter compliance regime it establishes. That removes roughly **17.5%** of below-RMB30 industry volume, or approximately **6%** of total industry orders. The result is lower industry volume, higher blended AOV, and better operating profit per order because the orders leaving the system were structurally loss-making.

Table 4: Resulting in lower industry volume, higher blended AOV, and OP uplift

Metric	Meituan	Alibaba	JD
Total order volume change	~(5%)	~(9%)	~(7%-10%)
Blended AOV change	+2%-3%	+4%-6%	+3%-5%
Annual OP uplift (losses avoided)	~RMB3bn-4bn	~RMB5bn-7bn	~RMB0.7bn-1.6bn

Source: J.P. Morgan estimates.

Alibaba's uplift is larger in absolute terms because below-RMB30 orders represent a higher share of its total mix than at Meituan, which we estimate at roughly **50%** versus **30%**, and because Alibaba's per-order losses in that segment are heavier, which we estimate at **RMB4-5** versus **RMB3.1** at Meituan. JD's uplift is proportionately meaningful given its sub-scale cost base.

Measured against the loss paths already in valuation, the read-through differs by name. For Alibaba, **RMB5bn-7bn** of operating profit uplift equates to **6-8%** of our FY26 food delivery and quick commerce loss and **11-15%** of FY27. Supportive, but not large enough to move P&L materially beyond the path we think the market already discounts. For Meituan, **RMB3bn-4bn** equates to **16-21%** of our 2026 food delivery loss but only **9-11%** of the **RMB35bn** swing from 2026 loss to 2027 profit embedded in our model. Supportive of the flip, but not enough to rebase the stock. For JD, **RMB0.7bn-1.6bn** is only **2-4%** of our 2026 new

initiatives loss, but it matters because almost no narrowing is priced in. The directional conclusion is unchanged: the ruling is positive for industry unit economics, but the order-quality channel alone does not materially rebase already-priced loss paths at Alibaba or Meituan.

Layer 4: what is already priced in

Alibaba's stock relevance is not EPS revision; it is credibility. Our food delivery and quick commerce loss forecasts of **RMB88bn in FY26, RMB47bn in FY27, RMB23bn in FY28, and profitability in FY29** already imply aggressive narrowing. We believe a similar trajectory is widely discounted. The remaining investor debate is whether management's public posture of continued aggressive investment undermines confidence in that path. The 17 April ruling helps close that gap by giving Alibaba politically legitimate cover to move toward a more disciplined, quality-led posture without appearing to retreat. We see scope for a **5-10% multiple-led re-rating** over three to six months if management's next public framing shifts accordingly.

Meituan is different. Our food delivery forecasts of **negative RMB24bn in 2025, negative RMB19bn in 2026, and positive RMB16bn in 2027** already embed a **RMB35bn** swing from trough loss to profit. We believe consensus broadly captures the same flip. The ruling helps on order mix, which reinforces our long-held view that order quality matters more than blended market share for normalized earnings power. But that benefit sits inside the valuation envelope already in the stock.

JD remains the clearest positive incremental. Our new initiatives loss forecasts of **RMB46bn in 2025 and RMB45bn in 2026** assume essentially no narrowing, which is consistent with consensus, while our group 2026 adjusted net income estimate sits double-digit percentage above consensus. The ruling adds a modest P&L tailwind on top of that pre-existing gap. That is why the stock relevance is larger at JD than the absolute operating-profit uplift would suggest.

PDD does not fit the loss-narrowing framework because food delivery is not the core issue in the stock. The relevant change is the combination of the visible fine and the now-demonstrated stacking template. We do not think the market prices a regulatory tool that can be reused in counterfeit goods, unlicensed beauty or health products, or merchant-identity verification cases.

How we read the structure of the ruling

We read the ruling as a deliberate regulatory architecture rather than a reactive set of penalties. First, SAMR diffused the action across the sector. The ruling names seven platform entities spanning five corporate groups: PDD, Meituan, Alibaba, JD, and Douyin. No group is singled out on the face of the ruling. We view that diffusion as deliberate. It frames merchant vetting as an industry obligation rather than a single-platform failure, and it lowers the political cost of any subsequent action against an individual

group. The fine allocation is nonetheless materially uneven, with PDD bearing the largest share.

Second, the **one-store-one-penalty** mechanism is, in our view, the most consequential innovation in the action and the least appreciated by the market. Article 131 of the Food Safety Law caps platform penalties at RMB200k for a platform-level failure of merchant-vetting duties. Under the reading applied in the 2024 Beijing “Wangjing BBQ” ghost-restaurant case, the maximum exposure across seven platforms would have been RMB1.4mn. SAMR instead treated each unvetted ghost storefront as a separate violation and stacked penalties accordingly. Applied to 67,604 storefronts, the effective penalty averages roughly RMB53,000 per violation, well below the statutory cap per violation but enough to reach RMB3.6bn in aggregate. We think that template is reusable wherever platform merchant-vetting duties are the relevant legal predicate, including counterfeit goods, unlicensed medical or beauty products, and merchant-identity verification.

Third, the operational remedy is deliberately narrow. The three- to nine-month onboarding freeze applies only to cake shops, which we believe are a small share of total merchant count on every platform, and the duration is sufficient for platforms to adjust without measurable impact on total order volume. We therefore read the remedy as economically modest but symbolically important.

Fourth, the **RMB19.7mn** of personal fines on legal representatives and food-safety directors is small in aggregate, but it raises the internal cost of compliance failures and should lift the industry’s fixed compliance floor over time.

Fifth, and most importantly for the forward read-through, SAMR acted on a **food-safety** predicate rather than anti-monopoly or competition grounds. In our view, that lowers the procedural bar and the political sensitivity relative to a formal antitrust process. The combination of a food-safety predicate, one-store-one-penalty stacking, and sector-wide diffusion is now a demonstrated enforcement template rather than a theoretical one.

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